

The PSU Story

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In FY18, only ONGC and NTPC had made the cut. One reason for the PSU comeback is sensible capital allocation

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PSUs used their scale to diversify into newer areas and adopt latest technologies

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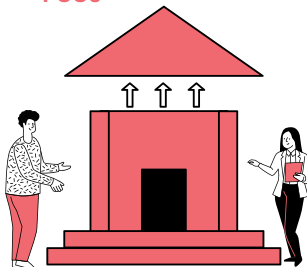
Cost control and lower commodity prices also helped

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The government gave them a free hand to take decisions without political pressures

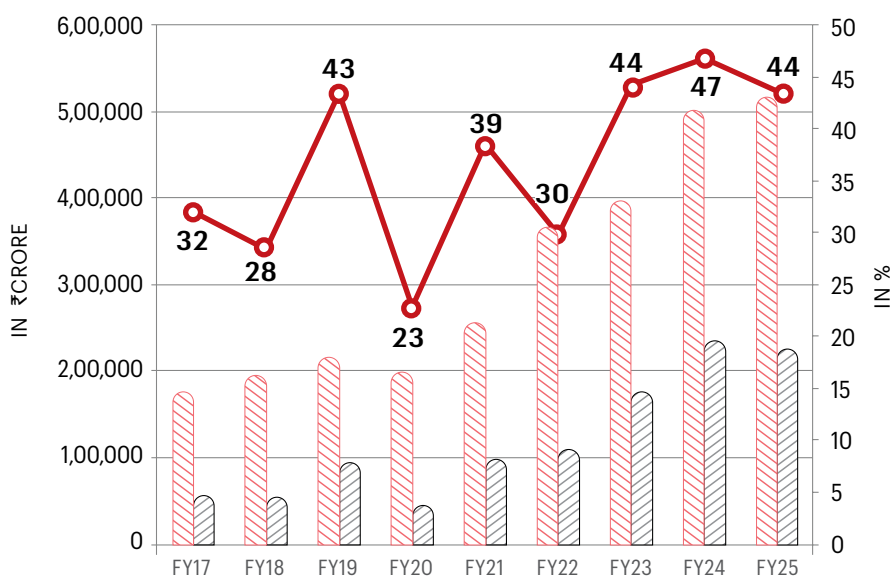
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The willingness to invest is a common theme across most large companies, including PSUs



BOOM TIME

• Total profit of top PSUs has risen around four times since FY17



PAT OF TOP 10 (LHS)
 PAT CONTRIBUTION BY PSUs (LHS)
 % SHARE OF PSUs in TOP 10 (RHS)
 SOURCE ACE EQUITY

that transformation, he picks out the ability to think at scale as the key. "That is not created easily. It allows SBI to go about its digital strategy at a very different level," he adds. Even in case of LIC, a significant market share (37.46% in individual and 71.19% in group segment) helped it grow on a large base. Chopra says scale has allowed PFC to innovate and diversify. "One of the clearest indicators of this growth is strong profitability, which has contributed to robust capital reserves and doubling of PFC's net worth in the last five years. This has directly translated into a higher capacity to lend and allowed us to support

larger and more complex projects in infrastructure and power," says Chopra.

The strength of the bigger PSUs is an indication of how the strategy to expand has played out. ONGC accounted for 73% domestic production of crude oil and 56% of natural gas in FY25. Arunangshu Sarkar, Director (Strategy & Corporate Affairs), says the performance "is not a standalone outcome but a culmination of ONGC's disciplined execution of a long-range strategy" built on three pillars—E&P (exploration and production) renewal, energy transition leadership, and financial resilience. To him, scale means strengthening busi-